

Model - 6

Basics of International Marketing- Environment and cultural dynamics of global markets, functions of International Marketing, determining International Marketing strategies, Major actors in International Marketing, Competitive Global Marketing Strategies.

Global HRM- Characteristics, Nature and factors of IHRM, Functions of IHRM,

Global Finance-Features of Global Capital Market, Growth of Global Capital Market, Global equity market.

International Production Management- Coordinating Global Manufacturing System.

Introduction:

Global marketing is defined as the marketing activity which is carried out across the national boundaries. Hence, it involves the process of marketing the goods and services from one nation to another nation. A company can market its products in more than one country at a time. One should not misunderstand global marketing as international trade. Global marketing is just a part of international trade.

According to AMA (American Marketing Association), "International marketing is the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organisational objectives".

According to Warren J. Keegan, "International marketing is the process of focusing the resources and objectives of an organisation on global marketing opportunities and needs"

Functions of International Marketing

- 1) **Analytical Function:** This involves conducting market analysis to understand the dynamics of foreign markets, including consumer behavior, competitor strategies, regulatory environments, and cultural nuances. The analytical function helps in identifying market opportunities, threats, and potential entry strategies.
- 2) **Production Function:** The production function entails adapting products or services to meet the specific needs and preferences of international markets. This may involve localization, customization, or standardization of products, as well as managing global supply chains and production processes efficiently.
- 3) **Control Function:** Control in international marketing refers to overseeing and managing various aspects of marketing operations across multiple countries. This includes setting performance metrics, monitoring sales and distribution channels, ensuring compliance with local regulations, and maintaining brand consistency and reputation globally.
- 4) **Research Function:** The research function involves conducting market research to gather insights into consumer preferences, market trends, competitive landscapes, and other relevant factors. Research helps in identifying market opportunities, evaluating market potential, and making informed decisions about market entry and expansion strategies.
- 5) **Administrative Function:** The administrative function encompasses the coordination and management of international marketing activities, including planning, budgeting, resource allocation, and coordination with internal departments and external partners. Administrative tasks ensure smooth execution of marketing strategies and activities across diverse markets.
- 6) **Sales or Distribution Function:** The sales or distribution function focuses on establishing and managing distribution channels to reach target customers in international markets effectively. This involves selecting appropriate distribution channels, managing relationships with distributors, retailers, and other intermediaries, and optimizing the distribution network to maximize market reach and sales performance.

Major Actors in International Marketing

- 1) **Multinational Corporations (MNCs):** These are large companies that operate in multiple countries, with significant operations, production facilities, and marketing efforts spread across the globe. MNCs play a pivotal role in shaping global markets and consumer preferences.
- 2) **Governments and Regulatory Bodies:** Governments play a critical role in international marketing through trade policies, tariffs, regulations, and diplomatic relations. Regulatory bodies, both domestic and international (e.g., WTO, FDA, EU Commission), set standards and regulations that affect international trade and marketing practices.
- 3) **International Organizations;** Organizations such as the World Trade Organization (WTO), International Monetary Fund (IMF), World Bank, and regional trade blocs like the European Union (EU) influence International marketing by promoting trade agreements, providing financial assistance, and establishing frameworks for economic cooperation.
- 4) **Exporters and Importers:** Exporters are companies or individuals who sell goods or services to foreign markets, while importers are those who purchase goods or services from abroad. They form the backbone of international trade by facilitating the exchange of products and services across borders.
- 5) **Supply Chain Partners:** Suppliers, manufacturers, distributors, wholesalers, and retailers are all part of the international supply chain. They collaborate to ensure the efficient production, distribution, and sale of goods and services in global markets.
- 6) **Advertising and Marketing Agencies:** These agencies help companies develop and implement marketing strategies tailored to international markets. They provide services such as market research, branding, advertising, and digital marketing to reach target audiences worldwide.
- 7) **Market Intermediaries:** Agents, brokers, trading companies, and freight forwarders facilitate transactions between buyers and sellers in different countries. They provide logistical support, market expertise, and negotiation services to streamline international trade.
- 8) **Financial Institutions:** Banks, investment firms, and other financial institutions facilitate international transactions by providing trade financing, foreign exchange services, credit insurance, and risk management solutions to companies engaged in global commerce.
- 9) **Cultural Experts and Linguists:** Understanding cultural nuances, language preferences, and consumer behaviour is essential for successful international marketing. Cultural experts, translators, and interpreters help companies adapt their marketing messages and strategies to resonate with diverse audiences worldwide.
- 10) **Technology Providers:** Technology plays a crucial role in modern international marketing, enabling companies to reach global audiences through digital platforms, e-commerce websites, social media channels, and mobile applications. Technology providers offer tools and solutions for online marketing, data analytics, and customer relationship management (CRM) in international markets,

Determining/International Marketing Strategies/Marketing Strategy for Global Markets

Marketing may be summed up as an organisational function and a collection of procedures for producing, disseminating, and providing value to consumers as well as for maintaining customer relationships in a way that benefits all parties involved. Marketing at the global level is simply the act of determining the requirements of clients in other nations and then offering them the necessary items at the proper location and price. Even on a global scale, the fundamentals of marketing remain the same, yet adjustments are constantly needed. Only a select few multinational corporations have the good fortune to employ the same marketing approach everywhere. For example, a pen manufacturing company that employs the tagline "finest writing in the world" would not be compelled to alter it anywhere in the globe. However, the bulk of multinational organisations must alter or particularly rework their marketing strategies for the global market.

Formulation of Strategy

Marketers need to follow the five step process in order to formulate the global or international marketing strategy. These steps are:

- Targeting and segmenting market

- Product strategy.
- Price strategy,
- Place strategy, and
- Promotion strategy.

The last four steps of an international marketing strategy are known as the "4 Ps" of marketing or marketing mix, but the first component, market evaluation, is a brand-new element to take into account when creating an international marketing strategy.

Basis for Global Market Segmentation

1) General Country Characteristics: As factors influencing global demand, these have often drawn the most attention. The following are these characteristics:

- Geographic Location: The physical or geographical location of a country is one of the most well-liked and frequently used bases for classifying nations. As a result, a business may devise distinct marketing plans for clients in Europe as compared to those in Asia or Africa. Climate patterns and cultural traditions are frequently comparable among nations that are geographically adjacent to one another. For example, European nations frequently share cultural practises, much as the nations of the East constitute a unique cultural bloc. As a result, different product kinds, such as food items, recreational equipment, clothes, or apparel, may be best suited for the various geographical groupings. Regional divisions provide the business a practical organisational structure from both an administrative and a financial perspective.
- Demographic or Population Characteristics: Companies that offer products that are specifically catered to a given age group, such as infant meals, elderly things, and records, may take use of demographic data like the age structure of the population as a simple foundation for segmentation. Similar to how the quantity and relative importance of several racial groups can influence the diversity of cultural patterns within a nation, it may be necessary to address each racial group separately.
- Level of Socio-economic Development: This is also typically seen as a key factor in determining purchasing trends for consumer and industrial goods and services. The demand for specific types of complex industrial products, such as sophisticated electronic goods or information services, is generally correlated with the country's level of industrialisation and, consequently, with economic progress. Similar to how it might influence the kind and quality of goods purchased, the level of socioeconomic development can have an impact on the size of the market for a given commodity. Mass markets for luxury goods like vehicles, air conditioning, home appliances, etc., could not exist in nations with low levels of economic development.
- Cultural Characteristics: Cultural traits are another segmentation foundation that may be effective. Social institution attitudes are characteristics of many cultural patterns. As a result, elements like the value of family effects over group influences and the standing of women in society may have an impact on consumer behaviour.

The degree of openness to change that different cultures exhibit varies. This affects one's readiness to embrace radically novel items and concepts, Culture-specific belief systems may have an impact on consumer behaviour. It is obvious that dietary regulations related to certain religions will influence consumer food choices. Differences in ethical perspectives could also be crucial. However, despite the fact that culture seems like an attractive segmentation basis on the surface, it is challenging to apply because of both conceptual and practical issues, i.e., the reality of such cultures and the challenges in identifying and quantifying cultural features.

- Political Factors: International segmentation may also be based on the kind of political system. Although little is known about how cultures with various political systems differ in their shopping habits, this seems especially pertinent for industrial products.

The political system's characteristics may have an impact on the limitations impacting purchasing decisions, the function and position of the decision-maker, and the incentives of buyers. It is anticipated that in states with state-controlled firms as opposed to those with free enterprise systems, there will be disparities in the relative importance of the various marketing mix

components. Additionally, if businesses are under government control, bureaucracy or buying agencies may become increasingly centralised. State representatives may serve as the most important contract gatekeepers in emerging nations.

- 2) Situation Specific Country Characteristics: The function of national features unique to certain buying scenarios and items has received far less scrutiny. There are three distinct sets that stand out:
 - i) Economic and Legal Constraints: The demand for a particular product may be significantly influenced by economic and legal constraints. By allocating resources to the production of particular commodities and so promoting demand for particular production inputs, government economic policy may have an impact on the environment of demand for particular product categories. Some industrial commodities may see an increase in demand if the government supports agricultural and emerging sectors. For example, in Jamaica, a government initiative to support and promote collaboration among independent farmers has boosted interest in small mechanised agricultural machinery.
 - ii) Market Conditions: A second group of factors that influence demand for a certain product are general market circumstances, including the level of competition, corporate culture, product lifecycle stage, technological advancements, and structure of the middle market.
 - iii) Product-Bound Culture and Lifestyle Characteristics: Different cultural values and general lifestyles may have an impact on how people feel about a certain product. For example, the French are renowned for spending a lot of time entertaining outside the house when compared to other Western nations. As a result, house furnishings and function as a reflection of the family's taste and social standing are given less attention and significance

Competitive Global Marketing Strategies

Competitive global marketing strategies are essential for companies looking to succeed in international markets. These strategies involve leveraging strengths, understanding local market dynamics, and adapting to diverse consumer preferences across different regions. Here are some key competitive global marketing strategies:

1. Standardization vs. Adaptation: Companies must decide whether to standardize their marketing mix (product, price, promotion, and distribution) across all markets or adapt it to local preferences. Standardization can lead to cost savings and brand consistency, while adaptation allows companies to cater to specific cultural, economic, and regulatory differences.
2. Market Segmentation: Segmenting international markets based on demographic, psychographic, geographic, or behavioral factors helps companies identify distinct customer groups with unique needs and preferences. By targeting specific segments, companies can develop tailored marketing strategies to effectively reach and engage their target audiences.
3. Differentiation: Creating unique value propositions and differentiation strategies helps companies stand out in competitive global markets. Whether through product innovation, superior quality, exceptional customer service, or distinctive branding, differentiation enables companies to command premium prices and build customer loyalty across diverse markets.
4. Localization: Adapting marketing content, messaging, and communication channels to resonate with local audiences is crucial for success in global markets. Localization involves translating marketing materials, incorporating culturally relevant imagery and references, and aligning with local customs, holidays, and traditions to connect with consumers on a personal level.
5. Global Branding: Building a strong global brand that transcends borders and resonates with consumers worldwide requires consistency, authenticity, and relevance. Global brands leverage their reputation, values, and storytelling to create emotional connections with consumers across different cultures and languages.
6. Strategic Alliances and Partnerships: Collaborating with local partners, distributors, influencers, or industry associations can enhance market penetration, credibility, and market knowledge in foreign markets. Strategic alliances enable companies to leverage local expertise, networks, and resources by navigate regulatory challenges, establish distribution channels, and gain market insights
7. Digital Marketing and E-commerce: Embracing digital marketing channels and e-commerce platforms enables companies to reach global audiences efficiently and cost-effectively. Leveraging social

- media, search engine optimization (SEO), content marketing, and online advertising helps companies build brand awareness, drive website traffic, and generate sales in international markets.
8. Customer Relationship Management (CRM): Developing robust CRM systems and strategies helps companies cultivate long-term relationships with customers in global markets. By understanding customer needs, preferences, and purchase behaviors, companies can personalize marketing efforts, provide exceptional customer service, and foster brand loyalty across diverse cultures and geographies.
 9. Competitive Pricing Strategies: Pricing products competitively based on local market conditions, competitor pricing, and customer willingness to pay is essential for profitability in global markets. Companies must consider factors such as currency fluctuations, import/export duties, taxes, and distribution costs when setting prices to remain competitive and maximize profitability.
 10. Continuous Market Monitoring and Adaptation: Finally, companies must continuously monitor market trends, competitive dynamics, regulatory changes, and consumer preferences in international markets. By staying agile and adaptable, companies can quickly adjust their marketing strategies to capitalize on emerging opportunities and mitigate risks in a rapidly evolving global landscape

Impact of Global Marketing

- 1) Positive Impact: The following points highlight the positive impact of global marketing:
 - i) Diversification Opportunities: Due to global marketing, companies prefer to invest in variety of segments of products/services and utilise their resources extensively in new product development. This provides diversification opportunities for majority of companies in the nation.
 - ii) Expansion Opportunities: Due to global marketing, it becomes the necessity of the nation to expand its production and marketing activities. This causes the generation of new economy which ultimately results in new expansion opportunities.
 - iii) Increased Market Share: Global marketing brings new markets and customers, as the company operates in more than one nation. This helps in increasing market share
 - iv) Career Opportunities: Due to the globalisation, more and more companies are attracting towards global marketing, thus, requiring highly qualified individuals. Many educational institutions are now offering special courses and subjects in order to cater the demands of qualified persons. There is demand for individuals in the field of production, distribution, finance, marketing, and after sales services. Therefore, vast career opportunities are developed through global marketing.
 - v) Global Recognition: The global marketing of products and services is helpful in providing global recognition to both country and the enterprise. By providing products and services of global standard, companies establish a significant brand image in the global market. To maintain the brand image, the enterprises need to provide value to customers by providing better quality products/services at competitive rates.
 - vi) Investment Opportunities: Variety of investment opportunities are generated through global marketing. These investments can be in terms of new technology, better infrastructure, new machinery, new marketing strategies and new production methods.
 - vii) Increased Standard of Living: With the help of global marketing, the domestic economy gets better quality products and services at highly affordable and competitive prices, which ultimately increases the standard of living. The global companies also provide employment opportunities which help in reducing unemployment,
 - viii) Mobility of Factors of Production: Due to global marketing, companies are able to transfer their production plants to any nation. Suppliers can be easily arranged in these nations. Thus, global marketing causes mobility of factors of production,
 - ix) Cooperative Agreements: Global marketing is considered as cooperative agreement between various parties, These parties combine their strengths and capabilities in order to provide better products, technology and services to the customers than they can manufacture on their own.
- 2) Negative Impact: Following points highlight the negative impact of global marketing:

- Brain Drain: It is a process where knowledgeable and intellectual talents shift from one nation/market to another nation providing higher package and more opportunity known as "brain drain". Global marketing is responsible for the rapid increase of brain drain activities. This results in the failure of many companies due to absence of talented individuals.
- Economic Neoliberalism: As global marketing involves different companies from different continents which integrate and operate globally, the issues related to taxation system and economic policies are observed largely. For example, if one country has a high rate of taxation than another, then the company will move its head office to that nation causing adverse impact of global market investment on the interested parties willing to open their office in the same country.
- Income Disparity: Global marketing may lead to income disparity in few segments of the population, and even to the downfall of established industries. For example, U.S. automobile industry lost its market share to Japanese companies, due to less capital inflow from investors, which also led to bankruptcy of few automobile companies in U.S.
- Peak Commodities: Another adverse impact of global marketing is that many commodities may lose their value coming years. There are many traditional products and services which have constantly increased their production level in the traditional marketplace. But, these peak commodities will require more investment to survive and sustain in the modern market, and due to global marketing, many investors may not likely to invest in traditional products like food, oil, grains, etc. As a result, these products will start diminishing gradually.

Difference

Basis of Difference	Domestic Marketing	International Marketing
1) Operating conditions	One nation, same language and culture.	Many nations, many languages and cultures.
2) Transportation cost	Transport cost is a major marketing expense.	Transport cost influences only to some extent.
3) Currency	One currency.	Different currencies in different countries.
4) Political environment	Political environment and factors are the same.	Different political environments and factors in different countries are vital.
5) Nature of market	Market is relatively homogenous.	Markets are diverse and highly heterogeneous.
6) Change control and tariffs	No problems of exchange control and tariffs.	There are problems of exchange controls and tariffs and they act as obstacles.
7) Data availability	Data available, usually accurate and relatively easily collected at less cost.	Data collection is formidable task requiring significantly higher budgets.
8) Government interference	Relative freedom from government interference.	Government influences business decisions.
9) Environmental effects	Individual company has little effect on environment.	"Gravitational" distortion by large companies.
10) Business environment	Relatively stable business environment.	Multiple environments, many of which are highly unstable.
11) Climate	Uniform financial climate.	Variety of financial climates ranging from over conservative to widely inflationary.
12) Nature of the business	Business "rules of the game" mature and understood.	Rules diverse, changeable and unclear.

Meaning and Definition of IHRM

The global or international viewpoint of human resource management can be termed as international HRM or cross-cultural human resource management. Managing human resources at global level is the main concern of international human resource management (IHRM). The manner in which human resources are managed by international organisations across various national surroundings is analysed by

IHRM. It assists the multinational firms in achieving success at an international level. IHRM refers to the procedure of sourcing, assigning, and using the human resources in an effective manner in MNCS.

IHRM is an extremely essential factor to become successful for a number of organisations. An effective and systematic management of human resources is impossible in the absence of IHRM. A far wider perspective is needed by IHRM even for the most general activities of HR. It emphasises on the human resource issues of MNCs in foreign subsidiaries, or more widely, with exploring concerns related to HR linked with the different phases of the process of going global. Simply put, large scale orientation of HRM can be termed as IHRM.

According to Morgan, "International human resource management is the interplay among these three dimensions-human resource activities, types of employees, and countries of operation".

According to Hugh Scullion, "IHRM has been defined as the HRM issues and problems arising from the internationalisation of business; and the HRM strategies, policies and practices which firms pursue in response to the internationalisation process".

According to Tapomoy Deb, "International human resource management may be defined as a strategic process of managing a global and diverse pool of talented people in such a way as to achieve aims and objectives of the organisation both at parent and subsidiary levels successfully, follow ethical practices on human and business issues and be adaptable to local cultural norms and other human needs and aspirations"

Strategic Functions of International HRM

- 1) **Human Resource Planning:** The procedure of predicting the future demand and supply of a global organisation regarding the right kind of people in right quantity is referred to as human resource planning. This procedure is much aligned with the business plan of a multinational organisation.
- 2) **Recruitment and Selection:** The procedure of inviting individuals to apply for the jobs in an organisation is known as the recruitment. The employers now are not confined to national or local level for the recruitment as all the countries of the world have come closer because of modern communication and transport systems. The recognition of the most appropriate individual from the group of candidates is referred to as selection.
- 3) **Training and Development:** It is also among the most essential activities of the international human resource management. Training and development for the new employees, especially who are likely to be sent to foreign countries, is an extremely crucial task.
- 4) **Remuneration:** The remuneration or compensation system of an organisation is the general method, through which administration and planning of employee reward is done. The significance of global compensation strategy in the execution of corporate strategy is being recognised gradually.
- 5) **Performance Management:** With respect to the international environment, performance management is the process by which multinational enterprises are able to assess and constantly enhance the performance of the organisation, individual, and subsidiary against the pre-defined clear goals directly connected to global strategy.
- 6) **Employee Relations:** From strategic view, the point to which the choices to unite and assimilate its global operations can be restricted by the organised labour, is the basic issue in global employee relations. Organised labour can obstruct the ability of the organisation to unite and assimilate its global operations in order to benefit from location economies and experience curve thereby restricting the efforts to attain a global strategy.

Factors of IHRM

- 1) **Cultural Factors:** The national culture, in which the organisation is situated, is an extremely essential factor which impacts IHRM. A set of values, rules, and assumptions which is established by the society is referred to as culture. Culture of a nation can be expressed as the set of beliefs, values, languages, and symbols in a particular culture. It is the culture that differentiates between various

organisations. In the same manner, wide variety of differences in culture is present over countries/nations at larger level also. For example, the western culture is totally different from the culture of east. The incentives in Asia (Japan) emphasise on teamwork, while on the other hand, the western culture focuses on the performance of individual worker for providing incentives.

- 2) **Economic Factors:** Abundant economic differences are also present amongst countries in the same way as the cultural differences. The differences which occur in HR in different countries are the result of this difference in economic situation or system. For example, a country where free enterprise system prevails, HR policies and practices which help in motivating output, efficient employees, etc., are promoted through the efficiency requirements. While, contrary to this, HR practices which have the tendency of encouraging social welfare (like checking unemployment) are initiated in those countries where socialist systems prevail. These practices are undertaken even at the cost of efficiency.
- 3) **Legal-Political Factors:** The legal factors differ across various countries. IHRM is also intensely influenced by the rules and regulations which are levied by the legal system of a country. The need of specific HRM practices like hiring, training, firing, layoffs, and compensation is majorly influenced by legal-political system. Mostly, the legal system is an extension of the culture where it prevails. Therefore, the laws of the specific country frequently present social norms regarding what comprises legal behaviours. For example, in the U.S., the equality in pay system is strongly believed. Therefore, minimum wage for wide-ranging jobs is established by Fair Labour Standards Act amongst other regulations and laws. There are many regulations in the U.S. which dominate most of the negotiation process between management and unions. The management of human resources in the U.S. is intensely affected by such regulations.

Meaning of International Finance

International Finance is that division of economics which is concerned with the study of various concepts such as foreign investment, exchange rate and their effects on international trade. This branch also analyses international investments, capital movements, cross-border projects, trade balances, futures, currency swaps and options. International finance and international trade theory are the main constituents of international economics

International finance studies flow of money across the nations. It also studies institutions and practices governing such flows. International finance differs from domestic finance in a number of ways. The biggest point of difference is exchange rate risk. This is the risk related to the uncertainty regarding the change in the price of a unit of one country's currency vis a vis a unit of another country's currency. Other risks are related to government's regulations, change in tax laws and foreign investment practices.

Nature:

- ✓ **Foreign Exchange Risk:** It is very important for the managers and investors to have knowledge about the foreign exchange risk as the foreign exchange rate fluctuates very frequently. When the business is performed within the country itself then there is no need to consider the foreign exchange risk as the currency used by the buyer for payment is acceptable by the seller because the seller and buyer belongs to the same country and the same currency is used throughout the country. But, when the trading involves seller and buyer of different countries, the foreign exchange risk is considered as with the use of foreign currency a volatility risk in foreign exchange rate is created. Every country adopts a foreign exchange rate policy that safeguards the interest of the country while encouraging the international trade.
- ✓ **Political Risk:** The international finance also suffers from political risks. The political risks may include the change in the actions and policies of the government, other events of political character like terrorist attack and taking off the property of the foreigner for the use of local peoples, etc. The companies must make proper analysis and interpretation of the political risks of the countries where the business is performed or expected to be performed in the near future.

- ✓ **Expanded Opportunity Sets:** The international financing involves performing the business activities globally. A business moves towards the international business when there are large numbers of opportunities available which may include cheaper arrangement of the capital, gaining economies of scale, etc.
- ✓ **Market Imperfections:** The market imperfections increase with the widening of the area of trading and the international business involves various markets to deal with. The markets of different countries have their own set of rules, regulations, laws, tax systems, business practices and general cultural environments and all these creates imperfections in world market. These imperfections restrict the investors to diversify the portfolio. Although there are various costs and risks that the manager and investor may face due to these market imperfections but it also provides with a lot of opportunities to them.

Scope of International Finance

- ✓ **Foreign Exchange Market:** The foreign exchange market is a market that deals with the foreign currency as the product. In other words, it is a place where the currencies denominated in one form are bought and sold in exchange for the other currencies denominated in another form. As foreign exchange market deals with foreign currency therefore, it lies under the scope of international finance.
- ✓ **Currency Convertibility:** The currency convertibility is a system in which residents or non-residents are freely allowed to convert their local currency into foreign currency. The international business involves the use of foreign currency and therefore currency convertibility plays a very significant role in it. International business in the countries that restrict the currency convertibility is more difficult to success in comparison to that of the countries that allow currency convertibility. A convertible currency is one which can be freely converted into foreign currency by both residents and non-residents or in other words both residents and non-residents can purchase any amount of foreign currency with their local currency. In contrast, non-convertible currency is the one that restricts the free convertibility of the currencies for residents as well as for non-residents.
- ✓ **International Monetary System:** For easing the use of finance in the international business every country implements the monetary policies formulated by the authority assigned by the government. In India, the monetary policy is maintained and governed by Reserve Bank of India. With the help of monetary policy, the RBI controls inflation, money supply and maintains such interest rate that accelerates the economic development.
- ✓ **Balance of Payments:** A statement that measures the financial transactions of a country with the other countries is known as Balance of Payments. It presents a summary of transactions for a specific time period that took place with the other country or in other words it summarises the imports, exports, cash inflows, cash outflows and other transactions with the other parts of the world.
- ✓ **International Financial System:** The system defining the various rules and customs to be followed. instruments to be used, facilities to be provided for facilitating the international payments and flow of funds to other countries is known as 'International Financial System'. With the recent trends, various new financial instruments are developed that made the growth of international financial system rapidly. The international financial systems are influenced by various factors like technological changes, growth in the world trade, free flow of funds, etc.

Emerging Challenges in International Finance Following are the challenges faced by the international business and finance:

- 1) **Cultural Differences:** The culture followed differs from country to country and this creates barriers in the free flow of international finance. Even the domestic markets are not remained untouched by such problems.
- 2) **Currency Per Value Differences:** Variation in the per value of currency units is also a significant challenge faced by international businesses as this results in the difficulty of converting the currency and fluctuations in the exchange rate. The monetary laws and policies may also differ.

- 3) Differences in the Language: The language barrier creates problem in the proper communication with the customers until and unless the customer's view and demand is not known how can the planning be done. Not only this but also there is different meanings of the same word and this creates the confusion and misunderstanding. Even the domestic markets like Indian markets are affected by the language differences.
- 4) Differences in the Marketing Infrastructure: There may be a lot of variations in the marketing infrastructure and facilities of different countries. For example, an enhanced technology used as a medium of advertisement that is generating satisfactory results in one area may not be available in another market.
- 5) Trade and Investment Restrictions: There may be various restrictions on the trade and investment in different countries and facing these restrictions is very challenging for the business.
- 6) High Costs of Distance: The transportation cost to be incurred and the time for delivering the resources to the workplace is more and meeting these costs on time is a very challenging task.
- 7) Differences in Business Practices: The business practices followed in different countries vary from each other and these create hindrances in the international business.
- 8) Cost: The organisations involved in international business have to cost their product at the lowest as with the recent trends in the technology the customer can easily identify the actual cost of the product and can order from the place from where he can get the product at the cheapest rate. To be a successful organisation, they must try to reduce the cost to such cost level that can be easily affordable by the customers and the competitors' prices are more or equal to the organisation with the same quality of product.
- 9) Quality: While keeping the cost to the least possible it must also consider that the quality of the product is maintained. To maintain the quality of the product or service so that the organisation has a competitive advantage over the competitors is a significant factor to be considered as this may create problems in having a successful international business.
- 10) Coping with the Market: The designing, developing and delivery of the final product to the market should be made within less time as everyday new products arrive in the market with enhanced feature and to cope in such an emerging environment is quite difficult.
- 11) Economic Differences: The business has to deal with various economic issues, when it is involved in the international operations as in most of the cases the economic environment of every country differs from each other. The company involved in importing the products or materials must take extra precautions to get the product delivered on time. Various geographic and economic conditions create barrier in the international business like areas of mountains and oceans have to work into their business plan. There can be an issue related to economic instability if the transactions are in third world nations. Even their political stability cannot ensure the success as the infrastructure to provide sound economic environment may not be present in these nations
- 12) Political Risks: When a business crosses the country border in terms of trade or investments various political risks are created and this is very usual in case the business moves from a developed country to less developed countries. The companies that have huge surplus of funds and modern technology can move the business to the country that can provide cheap factors of production like labour, material, etc., and large market share. However, moving the business to other country suffers from huge political risk of outright expropriation of the investment.
Political risk arises from the actions of the host country or home country that have an adverse effect on the specific group or on the majority of international business activities and investments. The actions and policies of the government will said to be political risk when the affected parties are not capable of adopting such actions and policies. The organisation involved in international business has to be prepared to deal with this political risk to face this challenge efficiently however sometimes the host country develops the policies with the strong intention of restricting the international business.
- 13) Fraud: The chances of fraud in the international business are quite more than that of the domestic business. The frauds in the international business may include documentary fraud, counterpart fraud, insurance scams, cargo theft, scuttling and piracy. Although most of the countries provide some laws regarding these frauds but there are also few countries which are known for their act of protecting the fraud person. The most common fraud in the international business is the presentation of forged

documentary and this can be detected if the cautions are taken by the trade services officer. An organisation must be more cautious while transacting with the deals that involve large amount.

- 14) **Difference in Tax Laws:** The tax laws are different in different countries and in order to protect the domestic producers from the foreign producers government imposes tariffs and quotas on the revenues of foreign countries. This affects the profits of the organisation involved in the international business adversely. They are forced to restrict the revenue to some specified limit. The free trade agreements have contributed a lot in reducing the barriers but even then the frequent changes in the laws of the foreign countries affects the earnings and ultimately success of the organisation involved in international business.
- 15) **Natural Resources Protection:** As far as the country growth is considered, the natural resources are being affected adversely and this is the biggest challenge that every business has to face. No doubt international business contributes to the growth of the country but at the cost of destroying the natural resources. For example, the increase in number of offices in India necessitates the use of ACs at large scale and as a result the temperature of the country increases. Although with the increase in the number of banks the customers are facilitated but the temperature and natural resources are affected adversely. This creates a great challenge in international business.
- 16) **Terrorism:** The international business of the countries involved in terrorism is greatly affected. The countries restrict the international business with the countries that are involved in terrorism activities even if their products are quite cheaper and quality is best. If a country wants to promote the international business then it should try to control and restrict the terrorism activities and make strict law against the persons those who are involved in these activities so that such activities can be significantly reduced.

Capital Market

The capital market deals in long-term claims to assets, such as government bonds, and corporate shares and debentures. The demand for long-term funds in most countries comes from individuals, unincorporated concerns, business corporations, public corporations and the governments. Capital markets now exist practically in all those countries where some industrialization has taken place.

However, the major capital markets in the leading industrialized countries have acquired international character. From this point of view the New York capital market now enjoys a unique position. London was the principal capital market in the late eighteenth and the nineteenth centuries. Its importance vis-à-vis the New York capital market has been less in the twentieth century due to the decline of the UK as an economic power.

International production Management/ Global manufacturing/ Production:

Both foreign production and supply chain operation aim to reduce the costs and improve the quality of production in order to address the shortcomings of both the chain operations. The phenomenon of globalisation is not new. Since ancient times, the global economy has been more interconnected as businesses steadily grow outside of their own countries. The sudden acceleration of this process is novel. Web-like value chains that increasingly span the globe reflect the growing global networking of communications.

Companies have unparalleled growth opportunities in the new market, and at the same time can boost-up their competitiveness with global or international production. Only few tiumbers of networks are strategically planned today, the majority are legacy structures. Consequently, rethinking traditional structures, approaches, and supply relationships can unlock massive value, but it can also lead to great failures.

Raw material and inputs are converted into outputs of goods and services in the production process. As a result, it is related to decisions and activities concerned with production or manufacturing. A global or international company can enjoy the competitive advantage when it adopts an effective operations strategy when it decides to process specific technology and starts manufacturing. Purchase decisions,

plant location decisions, raw material sourcing decision, and so on are the various decisions related to the global production.

Forces Accelerating Global Production

- 1) **Huge Factor Cost Differences:** There is a huge difference in the manufacturing costs, particularly in labour costs, when the costs of each country are examined separately. It is obvious that the high labour costs are closely related to the country's economy, i.e., labour costs are high in highly economic countries whereas, in low economic countries, labour costs are also low. Growth rates in Europe and North America accelerated with the emergence of Industrial Revolution. The majority of the rest of the countries, especially those governed by communist regimes, had a drastically different outcome. Many other countries' progress was stymied by poor economic policies. A historically unprecedented wealth disparity between the industrialised nations and the rest of the globe has emerged. Additionally, there were similar variations in local salaries. Labour expenses are particularly high in industrialised countries as a result of the strong and consistent economic growth over five or more decades. Other nations' wages are far lower since they were unable to keep up with this fast economic growth.
- 2) **High Growth in Emerging Markets:** Both in terms of relativity and absolute market volume, emerging markets are experiencing high growth in some of the segments. As a result, markets outside the industrialised world, particularly for manufacturing companies are becoming more attractive. These forces act as the catalysts in the growth and development of global production. In contrast, there is slow growth in the demand of many tangible products in domestic location of major industrial players. Simply fighting for market share is the major activity at home.
- 3) **Lower Transactions and Transportation Costs:** Transaction costs are one of the most critical barriers in global production, not only in an individual location, but from the perspective of entire networks and value chains. Transport cost is yet another major issue in the global exchange of products and services. Prior to the development of the railways, only commodities with a very high value density and large margins, such as spices, silk, glass, and china, were worthwhile to transport.

Key Issues in International Manufacturing Management

- 1) **Geographical Dimension:** Even if it is not always the case, the distance between areas within the same nation-state is frequently higher than the distance between locations in other nations. For example, India and America are separated by a far greater distance than North America and Canada. The cost of transportation is influenced by spatial distance, both within and between countries.
- 2) **Regulatory Regimes Dimension:** The laws, rules, and practises controlling a nation's economic, social, and political life are all constituting a regulatory regime. It encompasses the laws that regulate trade, markets, and the movement of resources between nations. Every nation has a unique regulatory structure, which results in a unique set of laws and norms that frequently have a historical context. When it comes to their own regulatory frameworks, countries frequently differ significantly. Nevertheless, each nation's regulatory state's frameworks often exhibit some degree of homogeneity and consistency. Various nation-states have unique regimes for their currencies, taxes, social security laws and regulations. and especially, different regimes for labour and its organisations.
- 3) **Working Issues for Labour Force:** A TNC faces a labour force that is more fragmented or segmented and less able to organise and oppose the demands of corporate capital whenever it has production dispersed across several nation-states. This situation has to be compared to one where the same workforce is engaged by the same business to create the same quantity of product in a single nation. The latter scenario would significantly strengthen labour organisation and opposition. Consequently, a strategy of global location may simultaneously be a strategy of labour segmentation. However, while exporting and importing goods and raw materials from other countries, many global organisations face challenges such as high import duties, drawn-out procedures, and agency commission. A global entrepreneur has to face all these challenges while production.

- 4) **Location Issues:** Decision related to the location of a manufacturing unit is another major issue faced by the global organisations. Various factors such as country, technology, product, and organisational challenges, must be taken into account by the company considering global production. The business struggles to locate their manufacturing units in the nation where obtaining raw materials is simple. Resource's costs and availability are significant elements that affect how well products are produced in other nations. Due to technological limitations, it would be possible to undertake some production tasks in a single place and supply the global market from there.
- 5) **Increase in Cost of Production:** The company must pay additional production costs once it has extended its manufacturing across worldwide markets and operates in those markets. This is so because it must spend more money on things like labour, raw materials, storage, etc., which drives up the price of producing the good.

Decisions Concerning Global Production:

- A. **Location Decision:** Different countries have different factors that affect the manufacturing facility's location. They could be more favourable in another country than they are in the domestic countries. For example, companies are able to produce high quality products at low cost in many countries due to the availability of cheap labour in most of the developing countries, and availability of high quality raw materials at cheap prices in other countries.
Location of manufacturing facilities is based on the two strategies. These are:
 - **Concentration Strategy:** This strategy implies to centralise the entire manufacturing industries into one location and deliver the goods and services across the world from there.
 - **Decentralisation Strategy:** Another strategy is to decentralise the manufacturing facilities to different national or regional location that the close to the major markets of that area.
- B. **Scale of Operations:** Any specific manufacturing facility must be taken into consideration together with its location and the size and scope of its operations. This entails determining precisely what things and services (i.e., the diversity of its output) and what quantities of those goods and services should be produced at that site (i.e., the volume of its output). There will be lower unit cost due to because of the economies of scale resulted from the increase in volume of goods and services at any global location. In the most extreme situation, a company may generally decide to manufacture all of its output of a certain product at one site, supplying all of its consumers worldwide. For a manufacturer and some services, e.g., for separated services and provider-located services, this would undoubtedly be feasible. A single back office might be utilised to support any number of distant front office activities, even for demander-located services.
The benefit of centralising all production at one site is that it allows for full utilisation of any capabilities that may have grown there over time and may be time-consuming to duplicate elsewhere. There may also be benefits from having suppliers close by, which would reduce supply chains and foster good working relationships with them.
- C. **Cost of Production:** The production cost is significantly affected by the local factor prices. This is especially true for manufacturing procedures that account for a large portion of value addition. The primary locational factor in the majority of industrial industries is labour cost. Refinancing costs and country-specific risks to the value and operational usability of investments are the main factors to take into account when it comes to capital expenses. When assessing the influence of materials, the third major component of factor costs, on a site selection decision; it is helpful to make the distinction between processed intermediate goods and raw materials. Following are the costs associated with the production costs:
 - Labour costs
 - Capital cost and depreciation
 - Material cost
- D. **Make or Buy Decisions:** The make-or-buy choice examines and determines what could be outsourced, what duties and responsibilities should be carried out internally by the company, and which ones should be outsourced to external suppliers. Additionally, it also analyses what kind of connection should be established with the providing businesses for the activities that the company

outsources to other firms. This set of challenges together is known as the "make-or-buy decisions" and requires frequent decisions.

Many purchasing choices, at their most basic level, are unrelated to the company's primary operations. These include things like security, office upkeep, stationery and printing, and travel preparations, among others. These services are better delivered by outside vendors that specialise in them. External suppliers can provide these services to the customer at cheaper rates thanks to economies of scale, centralised purchasing, market expertise, and specialisation. In these situations, a simple money-for-value decision can be made

Standardisation and Differentiation

The process whereby a single product is manufactured and sold in different markets without any considerable amount of changes is known as product standardisation. It is also known as product globalisation. This has gained momentum since outsourcing the operations by the MNCs has witnessed a rising growth.

Through standardisation, a firm can achieve economies of scale. The products are slightly modified in order to cater the diverse needs and requirements of the customers. Product standardisation faces a number of constraints in the form of changing preferences of consumers and restrictions imposed by government and trade. One main government constraint is the specification that some locally produced components should be used in the products.

There are different forms of product differentiation. Other names of it are customisation, localisation or adaptation. The peculiarities and characteristics of the local market form the basis of this development of the marketing strategies. Hence, it becomes essential to follow the concept of product differentiation for satisfying varying requirements and needs of the customers all over the world. 'Logical incrementalism' is a concept through which experimentalism and flexibility can be fostered. However, if management effectiveness is not able to adapt itself with the changes in environment, then it would probably result in a strategic drift.

The concept of product adaptation is sort of a reaction towards the market. Herewith, coordinating the activities of a global corporation will become difficult if adaptation is at a very high level. Mandatory adaptation refers to the changes made in the product before it is made available for use.

For example, appliances that operate on different voltages are made for the people of Europe and the USA. Market globalisation has two aspects, viz., global marketing and local marketing.

Also, the point of emphasis is to find out that which marketing approach, i.e., local or global, would have the maximum benefits. Both the concepts of differentiation and standardisation vary differently as per their applicability. However, international marketing is made up of altogether two different strategies - marketing differentiation and marketing standardisation.

Standardization Vs Differentiation:

Basis	Standardization	Differentiation
Application	The basic element of marketing must be applied by firms in a similar way all over the world, avoiding the specialties in the markets.	Variety in the markets i.e., market uniqueness and market individualism, supports differentiation.
Reasons	The multinational corporations must apply integration access all over the world and think globally.	The local and regional conditions which are characteristic to differentiation are considered by all global firms
Product offered	Designing a product that is similar in all the ways for geographical market in which the product will be sold is known as complete standardization	Modifying the product's features in relevant ways for all geographical markets in which the product is sold is known as complete differentiation

Characteristics	It is not necessary that all the features of other products required by the buyer are present in the standard product	A product is not similar to the product of competitor and also to the products produced by any specific firm
Approach	It is the approach for increasing the commonality of the product in the supply chain management	It is the approach differentiation/ dissimilarity existing between products and services are detailed and described
Economies of scale	Standardization is products leads to increase in the productivity because of increasing demand. This lowers the total cost and helps in achieving economies of scale	It lowers the overall economies of scale, since unique features of products leads to differences in quality, thereby increasing the product cost
Need	Satisfy the heterogeneous needs of the buyer	Satisfy a particular need of buyer
End result	It lowers the price and hence benefits the buyer	Buyer have to pay extra for the product, since the production cost is increased. However, this concept values the customer.